Atchison Active 55 SMA

30 September 2024

PORTFOLIO PERFORMANCE

The Atchison Active 55 SMA delivered 1.2% for the month, and 4.4% over the quarter.

Over the last 12 months, the Atchison Active 55 SMA delivered 15.5%, significantly beating Inflation by 12.1%. Relative to the Peer Group (FE AMI Peer Average), Atchison Active 55 SMA has materially outperformed over the last 12 months.

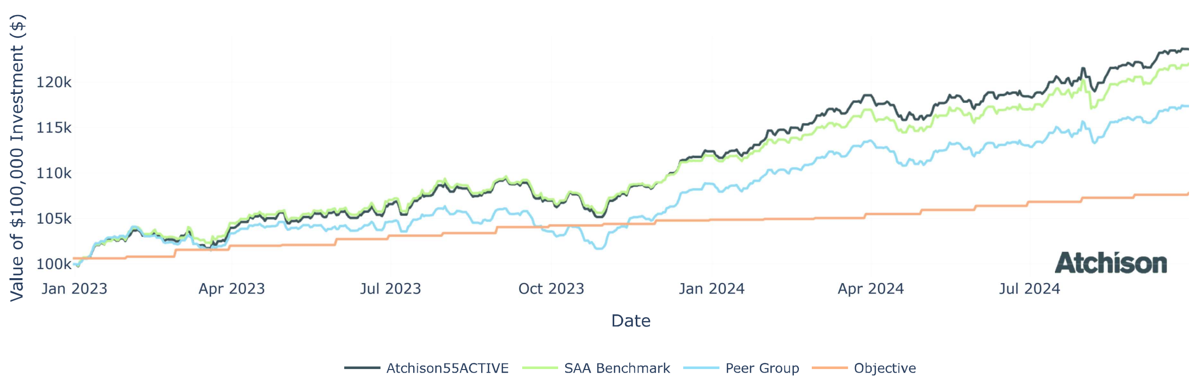
Since inception of the strategy, the Atchison Active 55 SMA has delivered 12.9%, significantly beating Inflation by 8.9%. Relative to the Peer Group (FE AMI Peer Average), Atchison Active 55 SMA has significantly outperformed since inception of the strategy.

All performance metrics listed above are net of appointed investment management fees but before tax.

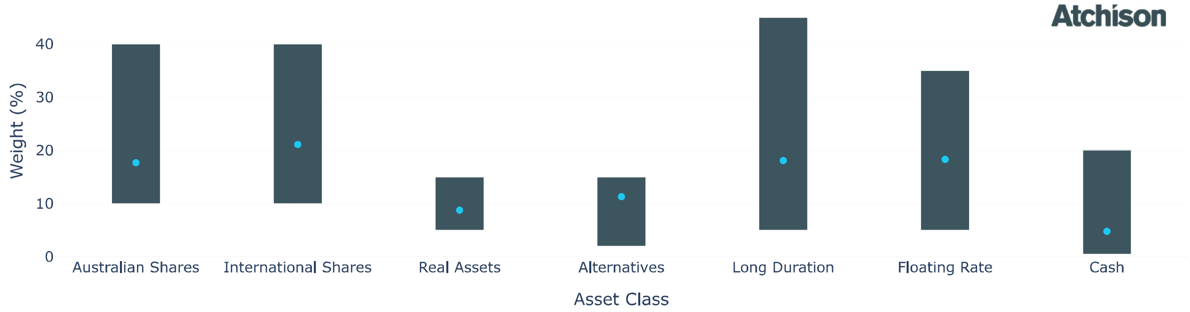
Returns vs Benchmarks

	1 Month	2 Months	3 Months	6 Months	1 Year	Since Inception
Atchison55ACTIVE	1.16	1.72	4.38	4.27	15.51	12.87
SAA Benchmark	1.21	1.49	4.29	4.33	13.88	12.04
Peer Group	1.04	1.46	3.82	3.35	13.24	9.57
Inflation	0.20	0.50	0.92	2.20	3.42	4.01

Performance of $100,000 Investment



CURRENT POSITIONING vs TYPICAL HOLDING RANGE

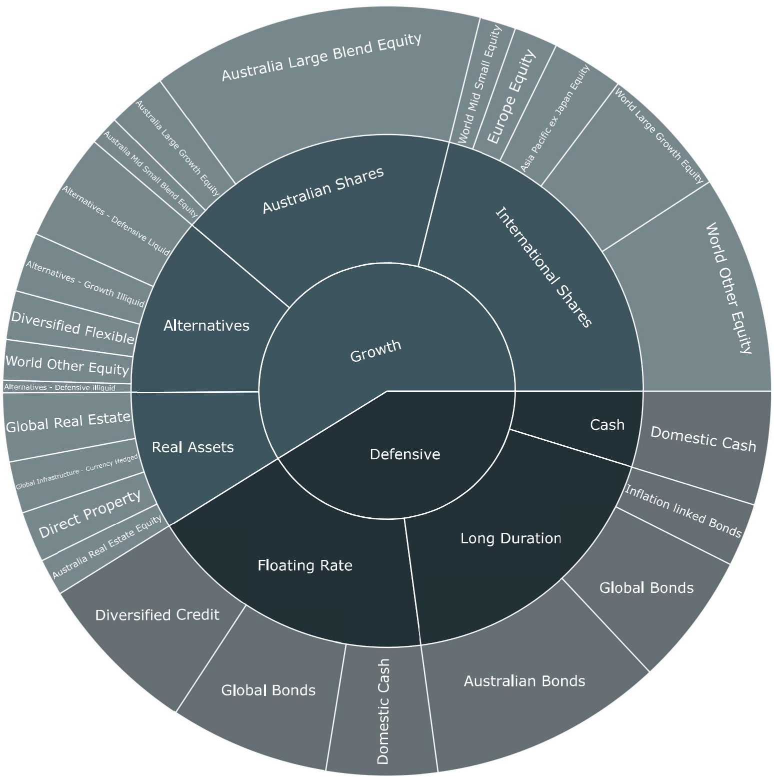


PORTFOLIO COMMENTARY

- On a weighted basis, the asset class that contributed to the most to the portfolio return was International Shares at (+9.31%)
- The asset class that contributed the least to portfolio return was Cash at (+0.77%)
- The asset class with the highest absolute return was International Shares (+44.55%)
- Whilst the asset class with the lowest absolute return was Cash (+7.53%)
- Attribution analysis relative to SAA shows Tactical Allocation Effect having the highest impact on value add at (+1.48%).
- Whereas, Manager Effect (net fees) was found to have a (+1.27%) impact on relative performance of the portfolio.

PORTFOLIO CONSTRUCTION

Portfolio Construction - Allocation Category



MARKET OVERVIEW - September 2024

- The Australian economy experienced a strong quarter, with the S&P/ASX 200 index lifting 6.7%, closing at record highs. This is despite high inflation, elevated interest rates, depressed consumer savings, along with modest declines in manufacturing PMI, services PMI, and plateauing consumer confidence.
- The recent stimulus from China in September 2024 (reducing interest rates and promoting company repurchasing of shares) assisted the Australian materials sector which rallied 10.8% higher for the quarter.
- Information Technology also finished up 16.1% and Real Estate finished up 14.4%. Worst performing sectors included Energy -6.2% and Utilities -1.2%.
- The U.S. economy showed resilience, with the Dow Jones up 8.07%, S&P500 up 5.25%, and Nasdaq up 1.73% over the quarter. Driven by a rotation out of technology names into broader sectors throughout the US economy.
- Closing off Q3 2024, the US Federal Reserve reduced the benchmark federal funds rate by half a percentage point to a range of 4.75 per cent to 5 per cent, citing progress on inflation and the balance of risks. Mag7 earnings have moderated but continue to grow at above-average rates.
- Valuations appear elevated compared to historical levels, but are supported by strong fundamentals, including robust expected earnings growth into 2025. Historically, US stocks have led the world with the best performance and earnings growth over the past 15 years, with share prices moving in concert with earnings over time.
- China stimulated their economy at the end of September, through rate cuts and an 800-billion-yuan ($114 billion) facility to support stock purchases, resulting in the CSI300 lifting 15.5% for the quarter, and 23.1% for the week.
- The Chinese housing sector also remains an area of chronic weakness, declining 5.3% year-on-year since August 2024, representing the 14th straight month on declines. As a result, the People's Bank of China (PBOC) reduced mortgage rates by 0.5 percentage points, while lowering the down payment for second-home buyers from 25% to 15%.
- Manufacturing PMI, Services PMI, Consumer Confidence and Business Confidence have declined for the September quarter in the United Kingdom. The United Kingdom is expected to see modest growth, facing challenges including labour market constraints, inflation, and cost-of-living concerns.
- The Eurozone is also expected to see moderate growth, driven by improving consumer confidence, spurred by a drop in interest rates. However, these changes are expected to be gradual, with Manufacturing PMI data and Services PMI data both currently moving backwards.
- Bond markets continued their rally in the third quarter as the outlook for interest rates and the likelihood of a soft economic landing became clearer. Yields on the 10-year Treasury note dropped from 4.48% at the start of July to 3.75% by the quarter's end.
- This decline in US yields provided investors with some price gains, particularly in long-term core bonds and Treasury bonds, which offered the strongest returns. Strategists anticipate that short-term bond yields will keep falling as the Fed lowers interest rates, but expect less upside for long-term bonds, as the prospects of a soft landing are already largely reflected in the market.
- The Reserve Bank of Australia (RBA) has maintained the cash rate at 4.35%, with investors anticipating rate cuts early next year.
- AREITs performed strongly in the third quarter, up 14.4%, tending to outperform when rates fall, and attracting investors when other asset classes underperform. GREITs also performed strongly, particularly across Canada, US, and Europe, all up +13%. This is also supported by the anticipation of future rate cuts.

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